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i&M Bank LIMITED

i&M Bank Kenya FY'2025 Earnings Note

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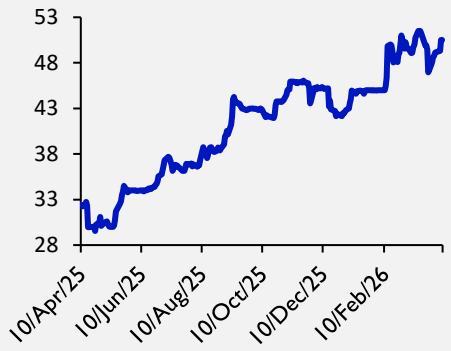
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I&M Bank FY'25 Earnings Note

10th April 2026

Ticker Information	
NSE Code:	IMH
Issued Shares (Bn):	1.74
52-week high:	KES 52.00
52-week low:	KES 15.80

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	1.9%	12.5%	17.4%	59.8%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 50.50**	**KES 56.66**

Summary

- **I&M Group posted a 24.5% growth in Profit After Tax (before non-controlling interest) to KES 19.83 Bn.** The performance was driven by growth in both funded and non-funded income streams, which recorded 16.0% and 30.8% growth, respectively, during the period under review. On the balance sheet, the loan book recorded a modest expansion to KES 306.28 Bn. At the same time, the lender recorded faster deposit mobilization, with total customer deposits rising to KES 483.94 Bn, a 17.4% y/y increase. This led to the loan-to-deposit ratio easing by 6.4% to 63.3%. **The Board of Directors recommended a final dividend of KES 2.25 per share, adding to the interim dividend of KES 1.50 per share, bringing the total dividend for the year to KES 3.75 per share, up from KES 3.00 per share paid in FY'2024.**

Key Highlights

- **Earnings Mix:** Revenues from the funded side declined 1.4% y/y to KES 69.19 Bn. This performance was driven by a 9.4% slowdown in revenue from loans and advances to KES 45.59 Bn, on the back of low lending rates, which softened margins, despite a modest loan book expansion. On the bright side, interest from government securities rose 28.2% y/y to KES 21.21 Bn, in line with a notable increase in government securities. Interest on deposits and placements eased to KES 2.25 Bn. On the expense side, interest on customer deposits declined 24.0% y/y to KES 19.28 Bn, as the lender bargained for cheaper deposits in tandem with a softening yield curve. Notably, interest on deposits and placements declined by 24.9% to KES 2.65 Bn, while other interest expenses softened 20.5% y/y to KES 1.31 Bn. This resulted in a 16.0% growth in net interest to KES 45.95 Bn. On the non-funded side, total non-interest income rose 30.8% y/y to KES 14.38 Bn, which is commendable compared to peers' performance in this segment. The performance was characterized by a significant 156.9% growth in other income to KES 3.87 Bn, thanks to growth in non-banking subsidiaries, while other fees increased by 36.3% to KES 4.48 Bn. FX trading income declined 5.9% to KES 3.38 Bn; management noted that a close partnership with remittance companies helped cushion further decline in FX income, in addition to other innovations such as FX Direct.
- **Asset Quality:** Gross non-performing loans declined by 11.5% y/y to KES 31.42 Bn, supported by enhanced recovery efforts. The gross NPL ratio improved to 9.7%, within the lender's target range of 8.0% to 10.0% in the medium term. Provisions increased to KES 18.08 Bn despite the improvement in asset quality, driving the cost of risk to 2.8%. The NPL coverage ratio improved to 71.6%

Balance Sheet Dynamics

The balance sheet recorded an expansion to KES 668.88 Bn. Total assets increased by 15.1%, which was largely supported by 38.2% growth in government and other securities to KES 220.61 Bn, as slow uptake in credit compelled the lender to park liquidity in government securities. Additionally, the loan book recorded a modest 6.7% growth to KES 306.27 Bn, amid subdued credit uptake, especially in the first half of the year. There was a notable increase in disbursements to the retail and business banking segment, with total disbursements reaching KES 99.0 Bn, a 14.0% increase from KES 86.00 Bn, partly linked to increased digitization and expanded product offerings in key markets, while management also noted increased penetration in other corporate segments. Total liabilities reached KES 546.90 Bn. At the same time, the lender recorded 17.4% growth in customer deposits to KES 483.94 Bn; 54.5% of deposits came from the retail and business banking segment.

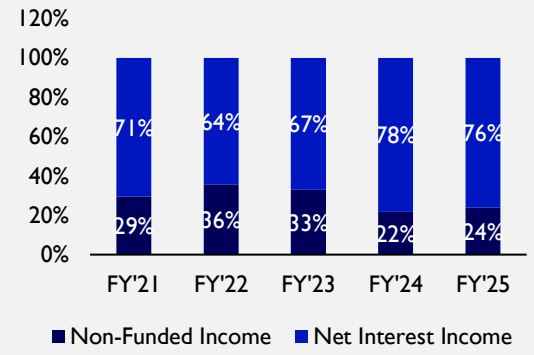
Outlook

I&M will be riding the last year of the Imara 3.0 strategy in 2026; the strategy has already borne significant results, with key mentions of the aggressive client acquisition. As we advance, we are of the view that, with the gradual pick-up in business activity in the country, coupled with a lower interest rate environment, I&M Group should have room to grow its revenue from core lending activities. We note that the loan-to-deposit ratio eased through 2025 to the lowest level in the last five years. We see other opportunities to drive growth, including: i) increased digital propositions, which have helped acquire new customers and have been key in driving customer acquisition and loan book growth, ii) promising non-banking subsidiary businesses – I&M Wealth Management business recorded a 233.0% jump in assets under management in FY'25, reaching KES 99.00 Bn, as a low interest rate environment compelled investors to turn to wealth management solutions, iii) banking subsidiaries outside Kenya will support growth, with most showing positive momentum and contributing 24.0% of the Group's Profit Before Tax, iv) expansion into new business segments, especially in the corporate space, such as oil and gas and leasing, v) opening of new branches to act as deposit mobilization points, and vi) various partnerships to drive revenue generation expansion. On the downside, a prolonged conflict in the Middle East could spill over into the local economy, slowing economic activity and weighing on the banking sector. At the time of writing this note, jitters have toned down following a two-week ceasefire reached between the conflicting parties; however, clouds of uncertainty remain.

Recommendation

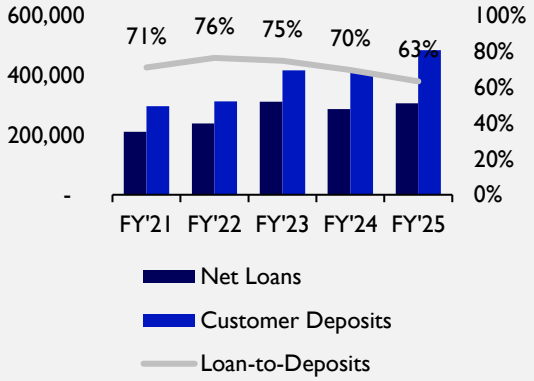
- **We issue a BUY recommendation on I&M Group, supported by solid earnings growth across both revenue streams and a healthy balance sheet.** At the current market price, the stock is trading at a P/E ratio of 4.3x and a P/B ratio of 0.7x. Our one-year target price for I&M currently stands at KES 56.66 - representing a c 12.2 % upside potential from current levels.

Chart 2: Asset Composition



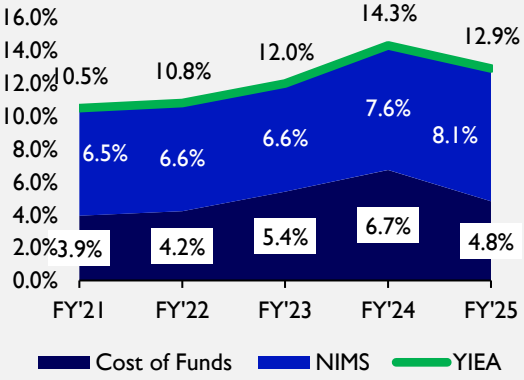
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Net Interest Income	20,876.9	22,944.5	28,630.5	39,605.2	45,950.8	▲ 16.0%
Net non-Interest Income	8,735.6	12,723.6	14,051.3	10,992.1	14,376.3	▲ 30.8%
Total Operating income	**29,612.5**	**35,668.1**	**42,681.7**	**50,597.3**	**60,327.1**	▲ 19.2%
Provision for Impairment	(4,199.6)	(5,245.0)	(6,869.5)	(7,818.3)	(8,689.9)	▲ 11.1%
Total Operating expenses	(17,748.5)	(21,337.9)	(27,205.0)	(31,742.4)	(36,924.2)	▲ 16.3%
Profit before tax	**11,864.0**	**14,330.2**	**15,476.7**	**18,854.9**	**23,402.9**	▲ 24.1%
Profit after tax	**8,623.9**	**11,583.7**	**13,345.2**	**15,936.6**	**19,837.1**	▲ 24.5%
Core EPS Annualized	4.67	6.43	7.25	8.90	10.79	▲ 21.2%
DPS	1.50	2.25	2.55	3.00	3.75	▲ 25.0%

Balance Sheet	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Government Securities	109,167.0	96,709.5	114,637.2	159,685.3	220,607.3	▲ 38.2%
Loans and Advances	210,619.7	238,590.1	311,330.8	287,082.6	306,279.9	▲ 6.7%
Total Assets	**415,180.7**	**436,599.6**	**579,719.4**	**580,905.0**	**668,884.0**	▲ 15.1%
Customer Deposits	296,746.5	312,335.9	416,674.4	412,179.5	483,935.1	▲ 17.4%
Total Liabilities	**341,132.6**	**354,950.1**	**484,019.2**	**479,975.0**	**546,901.8**	▲ 13.9%
Shareholder's Funds	**69,593.0**	**76,517.5**	**88,173.1**	**93,815.4**	**115,161.0**	▲ 22.8%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Spreads Analysis						
Yield on Assets	10.5%	10.8%	12.0%	14.3%	12.9%	▼ (1.4%)
Cost of Funds	3.9%	4.2%	5.4%	6.7%	4.8%	▼ (1.9%)
Net Interest Margin	6.5%	6.6%	6.6%	7.6%	8.1%	▲ 0.5%
ROaE	12.2%	15.3%	13.6%	16.2%	18.0%	▲ 1.8%
ROaA	2.1%	2.6%	2.2%	2.5%	3.0%	▲ 0.5%
Profit Margin	29.1%	32.5%	31.3%	31.5%	32.9%	▲ 1.4%
Operating Efficiency						
Cost to Income Less LLP	45.8%	45.1%	47.6%	47.3%	46.8%	▼ (0.5%)
Cost to Assets less LLP	3.3%	3.7%	3.5%	4.1%	4.2%	▲ 0.1%
Loan to Deposit	71.0%	76.4%	74.7%	69.6%	63.3%	▼ (6.4%)
Asset Quality						
NPL	9.6%	9.9%	10.8%	11.7%	9.7%	▼ (2.0%)
NPL Coverage	71.4%	71.9%	55.8%	62.3%	71.6%	▲ 9.3%
Cost of Risk	2.0%	2.2%	2.2%	2.7%	2.8%	▲ 0.1%
Capital Adequacy						
Core Capital/TRWA	16.6%	16.3%	14.5%	16.8%	16.9%	▲ 0.1%
Total Capital /TRWA	21.5%	20.5%	18.9%	20.2%	20.1%	▼ (0.1%)
Liquidity	52.3%	46.1%	44.7%	51.6%	59.7%	▲ 8.1%

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